higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

MARKING GUIDELINE

NATIONAL CERTIFICATE

MARKETING MANAGEMENT N6

27 NOVEMBER 2019

This marking guideline consists of 8 pages.

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QUESTION 1

1.1
- Toyota,
- Volkswagen
- Ford
- Nissan
- BMW
- Mercedes Benz
- Chinese manufacturer BAIC (Any 4 × 2) (8)

1.2
- Liquidate or sell the business,
- Downward sales path for some years (2 × 2) (4)

1.3 Horizontal integration – the company take over competitor, reinforcing position. (2 × 2) (4)

1.4
- Vertical backward integration the retailer buys and creates their own manufacturer or manufacturer integrates backward by buying their own supplier of raw material.
- Vertical forward integration the manufacturer buys or creates their own retail outlets. (2 × 4) (8)

1.5
- Determine the basic needs serve by the product and characteristics of the potential customer./Determine product demand.
- Establish the manner in which these needs are currently being met.
- Determine market potential/Estimation of market potential
- Elimination (Screening)
- Ranking
- Geographical cluster
- Eliminate country with barrier.
- Select the most suitable countries for further analysis./Choose country with easy entry possibility. (8 × 2) (16)

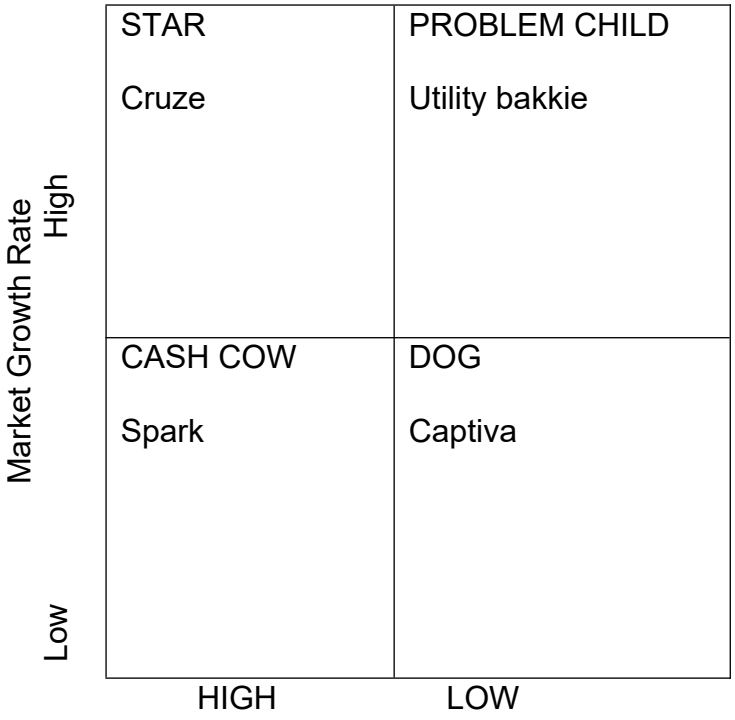
1.6
1.6.1 Plant, land and manufacturing machineries
1.6.2 Fork lift
1.6.3 Tyres
1.6.4 Stationery, cleaning material and maintenance parts.
1.6.5 Security service.

(Any relevant examples 5 × 2) (10)
[50]

TOTAL SECTION A: 50

QUESTION 2

2.1 2.1.1 Relative market share



(18)

2.1.2
- Build strategy the organisation decides to give up short term profits and use its financial resources to achieve this goal.
- Hold strategy continues with the present strategy to preserve the market position of a product.
- Harvest strategy aim at getting short term increase in cash flow regardless of the long term effect.
- Divest liquidate or sell the business. (3 × 4) (12)

2.2 Advertising
- Use television to show results of the service
- Use satisfied customer to tell their story on radio

Sales promotion.
- Free sample/visit/consultation.

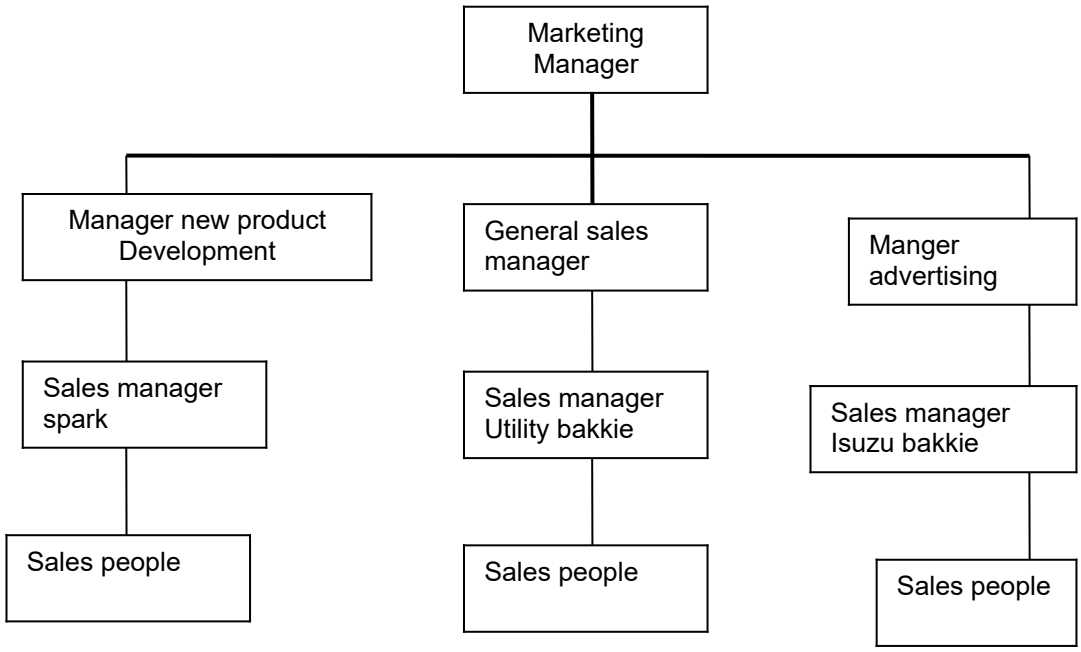
Money off price incentive
- Coupon/CouponS
- Free gift
- Competition (4 × 3) (12)

2.3
- Extended product life cycle
- Risk reduction
- Access to foreign finance
- Economies of scale
- Lower unit cost
- Reduction in fluctuation of seasonal sales.
- Higher profit
- Higher product quality and improved efficiency. (4 × 2) (8)

[50]

QUESTION 3

3.1



(16)

3.2
- To do market research
- To identify consumer needs
- To develop need satisfying product directed at consumer.
- To develop acceptable price for the product,
- To develop strategies for the distribution of product from the prodder to consumer.
- To develop strategy for the promotion of the product
- To recruit, train, compensate and motivate marketing personnel.
- To provide organisational structure
- To coordinate marketing activities within the department.
- To exercise control over activities of the marketing department. (Any 5 × 2) (10)

3.3
- New task buy plant in South Africa for the first time
- Straight rebuy buying tyres every month
- Modified rebuy re-evaluating the tyres they use to buy before (3 × 4) (12)

3.4 3.4.1
- Visualisation
- Association
- Documentation
- Physical representation (Any 3 × 2) (6)

3.4.2
- Differential pricing
- Non-peak demand can be cultivated
- Complementary service
- Reservation service (Any 3 × 2) (6)

[50]

QUESTION 4

4.1
4.1.1 True
4.1.2 False
4.1.3 True
4.1.4 False
4.1.5 True
4.1.6 False
4.1.7 False
4.1.8 False
4.1.9 True
4.1.10 True

(10 × 2) (20)

4.2 Initiator
- Are people who recognise that a company has a problem
- Initiator is not always someone inside the company.
- First suggest making a purchase.

Users
- Members who actually use the product.
- Initiate the buying process
- Help define specification

Influencer
- Develop product specification
- Evaluate alternative product.
- Are often technical people

Deciders
- Choose the product
- For routine purchased, buyer are usually deciders.
- For complex and more expensive items deciders are people on top management

Buyers
- Select suppliers
- Arrange term of the deal

Gatekeeper
- Control flow of information
- The role can be played by secretary or buying agent (6 × 3) (18)

4.3 Growth in existing market/Market Penetration
- Current Product/Current Market
- Aim at encourage existing user to use more of the existing product.
- Methods that can be used to stimulate demand are advertising, discount, giant size packaging, and buy one get one free.

Growth through product development/Product development
- New Product/Current Market
- Making small change and improvement on existing market
- The product range can be enlarge to offer consumers a great degree of satisfaction

Growth through Market development./Market development.
- Current Product/ New Market
- New use for old product
- Geographical expansion of the market

Diversification
- New Product/New Market
- Expansion in related markets with related products or expansion into unrelated field. (3 × 4) (12)

[50]

QUESTION 5

5.1 Set performance standard
- During planning process certain performances standard are set against which achievements may be measured.

Observation of actual marketing performance/Measure performance
- The measurement of marketing performance is continuous process. Control usually occurs before the actual activity take place, while the activity is going on and after activity completed.

Study deviation;
- Marketers must establish why the standard:
- has been equalled and not exceed,
- has been exceeded so far
- was not reached

Corrective action
- Where actual performance is below the standard set, steps can be taken to improve the performance. Where the deviation can be attributed to uncontrollable environmental factors, standards need to be lowered if they were initially high. (4 × 4) (16)

5.2
- Economic environment
- Physical environment
- Technological environment
- Cultural/Social environment
- Competitive environment
- Legal and political environment (Any 5 × 2) (10)

5.3 Consumer orientation
- A consumer orientated company will attempt to supply a product or service which will satisfy the needs of the consumer in most effective way.

Application
- The college must charge affordable fees and also offer programmes which student's needs.

Profit orientation.
- For profit orientated company this means to strive for highest attainable profit within certain time frame.

Application
- The profit margins must ensure the survival of the college. The primary objective is to offer good quality education to the students.

System orientation
- All the departments must work as a unit to achieve the objective of an organisation.

Application
- All the stakeholders in the college (SRC, DHET, College Council and College Management) must work together to deliver good quality education.

Community orientation
- The company not only exist for the satisfaction of consumer needs and the reaching of company objectives, but also to retain and promote the interest of the individual and the community.

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Application

- The college can be involved in community projects for instance offer free entrepreneurship skill to unemployed youth around the college.

(Any 8 × 2) (16)

5.4

- Tariffs
- Quotas
- Export restrain agreements
- Buy national laws
- Agreements in which the multinational company agrees to transfer majority ownership to a local investor
- Agreements whereby the international company agree to employ a certain percentage of local labour and management
- Subsidies for local enterprises, for examples, low interest loans and tax concessions to make local enterprises more competitive (Any 4 × 2) (8)

[50]

TOTAL SECTION B: 150
GRAND TOTAL: 200

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